

# 24NNCV03705 24NNCV03705

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[TENTATIVE] ORDER GRANTING IN  
PART AND DENYING IN PART PLAINTIFF'S MOTION FOR LEAVE TO CONDUCT FINANCIAL  
DISCOVERY

## I. INTRODUCTION

Plaintiffs Qing Ye Li, individually  
and as successor in interest to the Estate of Xingya Zhang, and Hui Hung Zhang  
(collectively, "Plaintiffs") filed this action on August 20, 2024,  
alleging causes of action for negligent security, negligence, battery, and  
elder abuse against Defendants Jade Court San Gabriel, LP ("Jade  
Court"), Starboard Seaview Manager, Inc. ("Starboard"), Jerry Uy  
("Uy"), Mia Constance Williams, Jaumaul Rashaud Jackson, and Does 1  
through 100. The action arises from the December 26, 2022, death of Xingya  
Zhang.

On July 13, 2026, Plaintiffs filed  
the instant motion for leave to conduct financial discovery pursuant to Civil  
Code section 3295, subdivision (c), as to Defendants Mashcole Property  
Management, Inc. ("Mashcole"), Uy, Jade Court, and Starboard. Jade  
Court and Starboard filed their opposition on July 20, 2026. Mashcole and Uy  
filed their opposition on July 27, 2026. Plaintiffs filed a consolidated reply  
on July 31, 2026.

## II. LEGAL STANDARD

Civil Code Section 3295 prevents  
pre-trial discovery of a party's financial condition relevant to a Section 3294

claim for punitive damages. However, subsection (c) enables a plaintiff to move for a court order allowing the discovery “if the court finds, on the basis of the supporting and opposing affidavits presented, that the plaintiff has established that there is a substantial probability that the plaintiff will prevail on the claim pursuant to Section 3294.” (Civ. Code, § 3295(c).) “Such order shall not be considered to be a determination on the merits of the claim or any defense thereto and shall not be given in evidence or referred to at trial.” (Ibid.) “In this context, a “substantial probability” of prevailing on a claim for punitive damages means that it is “very likely” that the plaintiff will prevail on such a claim or there is a “strong likelihood” that the plaintiff will prevail on such a claim.’ [Citation.]” (I-CA Enterprises, Inc. v. Palram Americas, Inc. (2015) 235 Cal.App.4th 257, 283.)

### III. ANALYSIS

Plaintiffs move for leave to conduct financial discovery pursuant to Civil Code section 3295, subdivision (c), as to Defendants Mashcole Property Management, Inc., Jerry Uy, Jade Court San Gabriel, LP, and Starboard Seaview Manager, Inc. Plaintiffs contend there is a substantial probability they will prevail on their punitive damages claims and therefore seek pretrial discovery of Defendants' financial condition. (Notice, p. 2.)

Specifically, Plaintiffs seek five years of financial information from Mashcole, Jade Court, and Starboard, including tax returns and related filings, business valuations, documents reflecting assets and liabilities, profit and loss statements, SEC filings, and the identities of the entities' accountant, tax manager, and wealth manager. As to Defendant Uy, Plaintiffs seek tax returns, W-2s, and 1099s. Plaintiffs state that any financial information produced would remain confidential pursuant to the parties' December 2025 protective order. (Id.)

Each Defendant opposes the motion.

Because the parties raise distinct arguments as to the various defendants, the Court addresses those arguments separately below.

Maschole Property and Jerry Uy

Mashcole and Uy oppose the motion on several grounds. They argue: (1) the motion is premature because Plaintiffs

will have an opportunity to obtain financial information if punitive damages are ultimately awarded; (2) this Court's prior ruling on summary judgment merely found a triable issue of fact regarding punitive damages and did not establish that Plaintiffs are substantially likely to prevail; (3) the evidence does not support an award of punitive damages as a matter of law; and (4) Plaintiffs have failed to satisfy the burden required under Civil Code section 3295, subdivision (c), to justify pretrial financial discovery.

Mashcole and Uy contend there is no prejudice in denying the motion because, should a jury ultimately find by clear and convincing evidence that punitive damages are warranted, Plaintiffs will have the opportunity to present evidence of Defendants' financial condition during the punitive damages phase of trial. They further argue that this Court's prior denial of summary adjudication merely established the existence of triable issues of fact regarding punitive damages, leaving that determination for the jury, and did not constitute a finding that Plaintiffs are substantially likely to prevail on their punitive damages claim. (Opposition, pp. 10-11.)

Finally, Mashcole and Uy argue Plaintiffs have not demonstrated the "substantial probability" required by Civil Code section 3295, subdivision (c). They contend the evidence, at most, supports claims of negligence, which is insufficient to warrant punitive damages, and fails to establish by the requisite showing that any corporate officer, director, or managing agent acted with malice, oppression, or fraud. Thus, they argue Plaintiffs have not met the statutory threshold for pretrial financial discovery.

In reply, Plaintiffs argue Defendants apply the wrong legal standard. Plaintiffs contend Civil Code section 3295, subdivision (c), requires only a showing of a substantial probability of prevailing on their punitive damages claim, not proof by clear and convincing evidence. Plaintiffs further assert the motion is supported by counsel's declaration, certified deposition transcripts, and this Court's prior rulings denying summary adjudication on punitive damages, which they contend satisfy the statutory burden. (Reply, pp. 2-6.)

The Court finds Plaintiffs have met their burden under Civil Code section 3295, subdivision (c), as to Defendants Mashcole Property Management, Inc. and Jerry Uy.

Civil Code section 3295, subdivision (c), does not require Plaintiffs to establish their entitlement to punitive damages by clear and convincing evidence at this stage. Rather, the Court must determine, after weighing the parties' competing evidence, whether Plaintiffs have established a substantial probability they will prevail on their punitive damages claim. (See *Jabro v. Superior Court* (2002) 95 Cal.App.4th 754, 758; *Kerner v. Superior Court* (2012) 206 Cal.App.4th 84, 119.)

Here, Plaintiffs have submitted evidence, including deposition testimony and this Court's prior rulings, tending to show that Mashcole and Uy were aware of Jackson and Williams' threatening conduct before the homicide, yet allegedly failed to take adequate steps to remove them from the property or otherwise protect tenants. Plaintiffs further present evidence regarding Uy's qualifications, hiring, supervision, and the alleged ratification of his conduct following the incident. (Farrugia Decl., Exhs A-H; Oppositions to MSJ.)

Specifically, Plaintiffs submit evidence that Jackson had a documented history of violent and disruptive incidents at the property dating back to at least June 2021, with additional reported incidents throughout 2021 and 2022, including shortly before the homicide. Plaintiffs also present evidence that these incidents were required to be reported under Mashcole's own policies and procedures (Farrugia Decl., ¶¶ 3-4, Exhs. A-B.) Plaintiffs also present evidence that Mashcole hired and retained Uy despite his lack of prior property management experience and that supervisory personnel, including Ayden Shabbir, remained employed following the incident. (Farrugia Decl., ¶ 5, Exhs. C-D.)

In addition, Plaintiffs present evidence that Mashcole's CEO, Craig Senia, and general manager Paul Belden testified that the homicide incident report would have been emailed to management, yet no incident report was retained in the produced property file. (Farrugia Decl., ¶¶ 10-12, Exhs. I-L.)

While Defendants vigorously dispute these facts and contend the evidence demonstrates, at most, negligence, those arguments largely address the ultimate merits of Plaintiffs' punitive damages claim rather than the narrower inquiry presented by section 3295, subdivision (c).

After weighing the parties'

submissions, the Court concludes Plaintiffs have demonstrated a substantial probability of prevailing on their punitive damages claim against Mashcole and Uy sufficient to permit limited pretrial financial discovery.

Jade Court San Gabriel, LP and Starboard Seaview Manager,  
Inc

Jade Court and Starboard oppose the motion, arguing Plaintiffs have failed to establish a substantial probability of prevailing on their punitive damages claims as to either entity. Starboard, in particular, contends it had no operational involvement with the subject property. According to Starboard, it did not own or manage the property, did not enter into the management agreement with Mashcole, did not employ, hire, or supervise Jerry Uy or other on-site personnel, and had no relationship with Jaumaul Jackson or Mia Williams. Rather, Starboard asserts its only connection to the property is its status as Jade Court's general partner. (Opposition., p. 5.)

Starboard further argues that its status as Jade Court's general partner does not, by itself, establish punitive liability under Civil Code section 3294. It contends Plaintiffs have presented no evidence that any Starboard officer, director, or managing agent had advance knowledge of Uy's alleged unfitness, authorized or ratified any wrongful conduct, or personally acted with oppression, fraud, or malice. Accordingly, Starboard argues Plaintiffs cannot demonstrate the substantial probability required under Civil Code section 3295, subdivision (c), to justify pretrial financial discovery. (Id. at pp. 5-7.)

Civil Code section 3295, subdivision (c), does not require Plaintiffs to establish their entitlement to punitive damages by clear and convincing evidence at this stage. Rather, the Court must determine, after weighing the parties' competing evidence, whether Plaintiffs have established a substantial probability they will prevail on their punitive damages claim. (See *Jabro v. Superior Court* (2002) 95 Cal.App.4th 754, 758; *Kerner v. Superior Court* (2012) 206 Cal.App.4th 84, 119.

As to Jade Court and Starboard, the

Court reaches a different conclusion. The evidence indicates that Plaintiffs rely on an agency theory of liability as to these parties. Although Plaintiffs present evidence concerning the conduct of Mashcole and Uy, Civil Code section 3294, subdivision (b), requires more than a showing of vicarious liability to impose punitive damages on a corporate defendant. Rather, Plaintiffs must demonstrate a substantial probability of proving that an officer, director, or managing agent of the corporation had advance knowledge of the alleged unfitness, authorized or ratified the wrongful conduct, or was personally guilty of oppression, fraud, or malice. (College Hospital Inc. v. Superior Court (1994) 8 Cal.4th 704, 723; Civ. Code, § 3294, subd. (b).)

Here, Plaintiffs have not made that showing as to either Jade Court or Starboard. While Plaintiffs rely on evidence regarding the actions and knowledge of Mashcole personnel and Uy, they have not identified sufficient evidence demonstrating that an officer, director, or managing agent of Jade Court or Starboard possessed the requisite state of mind or otherwise satisfied the requirements of section 3294, subdivision (b). Nor is a corporate relationship with Mashcole, or Starboard's status as Jade Court's general partner, sufficient to establish a substantial probability of prevailing on punitive damages claim against those entities.

Given this, and after weighing the parties' submissions, the Court concludes Plaintiffs have not demonstrated a substantial probability of prevailing on their punitive damages claims against Jade Court or Starboard. The motion for leave to conduct financial discovery is therefore DENIED to those Defendants.

#### IV. ORDER

The motion is GRANTED as to Defendants Mashcole Property Management, Inc. and Jerry Uy. Plaintiffs may propound financial discovery limited to the following:

Any and All tax filings, including returns in the last five years submitted to the State of California and Federal Internal Revenue Service and any responses or audits;

Any and All business valuations performed in the last five years;

Any

and All documents evidencing the current assets of Defendant, including asset management documents indicating property holdings, asset valuation, and tax liabilities, outstanding liens, and mortgages or loans on property holdings or for the entity in the last five years;

Any

and All profit/loss statements in the last five years;

Any

and All documents filed with or received from the SEC in the last five years.

From

Jerry Uy: Any and All tax filings, W2s, 1099s submitted to the State of California and Federal Internal Revenue Service.

And

Defendants shall identify the accountant, tax manager and wealth manager related to any of the above companies.

All documents produced pursuant to this Order shall remain subject to the parties' existing protective order.

The motion is DENIED as to

Defendants Jade Court San Gabriel, LP and Starboard Seaview Manager, Inc.

Plaintiffs are to give notice.

Dated: August 7, 2026

JARED

D. MOSES

JUDGE OF THE SUPERIOR COURT